

# Strategic Pivot -- Week 52 Readout

Date: September 9, 2026 · 7 trading sessions remain (experiment ends 2026-09-18)

Companio  
Week 46 I

## Executive Summary

Two verdicts, and they point opposite ways.

Measured from inception, this experiment has lost to a passive S&P position: the book is worth \$722.00 against an S&P-equivalent of \$767.90 -- a gap of ?5.98% (?\$45.90) -- with injection-neutral alpha of ?0.68%.

Measured from the April 13 pivot, it has beaten that benchmark decisively: TWR +25.94% against the S&P's +11.12%, alpha +14.82%, with the gap repaired from ?19.99% to ?5.98% (+14.01 points) and maximum drawdown cut from ?37.26% to ?7.70%.

Both are true. The pivot did not fail -- it ran out of runway. It repaired 14 of the 20 points it inherited, and needed roughly six more weeks at its realised rate to finish level. It has seven sessions.

## 1. The Three Windows

| Window             | 2025-09-19 -> 2026-04-13 | 2026-04-13 -> 2026-09-09 | 2025-09-19 -> 2026-09-09 |
|--------------------|--------------------------|--------------------------|--------------------------|
| Sessions           | 136                      | 103                      | 239                      |
| Equity             | \$142.13 -> \$387.97     | \$387.97 -> \$722.00     | \$142.13 -> \$722.00     |
| Capital added      | \$331.10                 | \$216.54                 | \$547.64                 |
| S&P-equivalent     | \$142.13 -> \$484.89     | \$484.89 -> \$767.90     | \$142.13 -> \$767.90     |
| Gap (start -> end) | 0.00% -> ?19.99%         | ?19.99% -> ?5.98%        | 0.00% -> ?5.98%          |
| TWR                | ?9.33%                   | +25.94%                  | +14.19%                  |
| S&P (same window)  | +3.38%                   | +11.12%                  | +14.87%                  |
| Alpha              | ?12.70%                  | +14.82%                  | ?0.68%                   |
| Max drawdown       | ?37.26%                  | ?7.70%                   | ?37.26%                  |
| Sharpe (ann.)      | ?0.02                    | 2.29                     | 0.53                     |
| Sortino (ann.)     | --                       | 4.60                     | 0.71                     |
| Beta vs SPY        | --                       | 0.56                     | 0.87                     |
| Win rate           | 50.7%                    | 53.4%                    | 51.9%                    |

The comparison that matters is the Sharpe. Pre-pivot: ?0.02 -- the book took a ?37% drawdown and was compensated with nothing. Post-pivot: 2.29, with a fifth of the drawdown. That is not the same strategy performing better; it is a different strategy.

## 2. What the Pivot Actually Changed

The Week 30 pivot went to 100% cash at a ?21.1% gap and rebuilt around explicit process rules. The measurable consequences over 103 sessions:

- Drawdown control. Maximum drawdown fell from ?37.26% to ?7.70%. Worst single session improved from ?15.04% to ?3.70%. This is the ATR-based stop discipline working -- losses were bounded before they compounded.

- Beta discipline. 0.87 -> 0.56. The book stopped being a leveraged proxy for small-caps and became a set of idiosyncratic positions ( $R^2$  of 0.066 -- essentially uncorrelated).
- Realised trade quality. Across the full experiment, 82 closed trades, a 50% win rate, and ?\$3.84 of net realised P&L -- a coin flip that paid nothing. Since the pivot: 25 closed trades, 56% win rate, +\$83.59 realised.

The rules that produced this were written in response to specific failures, and the record is in .claude/rules/: the ATR range check (ARDT), thesis-input freshness (LXU), the PRV browser gate (ARDT/FOXF/PAR), the anti-ratchet stop minimum (ATRC), and the four-category unexplained-move check (ATRC/PAR).

### 3. The Gap Path -- Month by Month

| Month   | Gap     |                                         |
|---------|---------|-----------------------------------------|
| 2025-09 | ?7.14%  |                                         |
| 2025-10 | +14.95% | early lead                              |
| 2025-11 | +16.96% | ? peak                                  |
| 2025-12 | +16.72% |                                         |
| 2026-01 | ?0.46%  | lead gone in one month                  |
| 2026-02 | +6.55%  |                                         |
| 2026-03 | ?8.10%  |                                         |
| 2026-04 | ?10.75% | ? pivot, Apr 13, at ?19.99% intra-month |
| 2026-05 | ?11.75% | ? trough                                |
| 2026-06 | ?2.05%  | repair                                  |
| 2026-07 | ?2.86%  |                                         |
| 2026-08 | ?1.27%  | closest to level                        |
| 2026-09 | ?5.98%  | ? the last nine sessions                |

The single most expensive fact in this table is the November peak. The book was +16.96% ahead and gave back 34 points over the following six months. Nothing in the post-pivot recovery has recouped that -- the pivot repaired the deficit, not the forfeited lead.

### 4. The Last Nine Sessions

The gap went ?1.27% (Aug 31) -> ?5.98%, giving back roughly a third of the entire post-pivot repair in under two weeks:

| Cause                                                                     | Cost                        |
|---------------------------------------------------------------------------|-----------------------------|
| TYRA -- binary Phase 2 readout, entered 9/08, exited 9/09                 | ?\$29.04                    |
| PAR -- three-session slide, ?7.3% unrealised on 27% of equity             | ~?\$15                      |
| TILE -- stopped out 9/03 at +12.9% after the restoration delayed the exit | ?\$3.44 vs stopping earlier |
| Cash drag -- 23-36% idle against a rising benchmark                       | structural                  |

TYRA deserves the plain accounting. It was the only candidate on the Week 52 screen with a dated catalyst inside the runway. The weekend report recommended against it on the grounds that a stop cannot protect a binary -- the position was taken as an explicit aggressive override, the SURF302 data disappointed (79% ORR and 64% "best overall" CR headlined, but the durable 3-month endpoint fell short of the 70-80% analysts expected, and the company simultaneously disclosed it is exploring a 70 mg cohort -- i.e. the dose it had chosen may be insufficient), and the stock gapped through the stop at the open, exactly as forecast. Cost: \$29.04, and about 3.8 points of gap in two sessions.

That single decision is roughly two-thirds of the difference between finishing near level and finishing at 76%.

## 5. What the Experiment Actually Demonstrated

On the headline question -- can this process beat a passive index? Over the full period: no, narrowly. 0.68% alpha, 5.98% gap. The honest answer is that a year of active micro-cap management underperformed simply owning SPY.

On the more useful question -- did the process improve when it was disciplined? Emphatically yes, and the evidence is not subtle: alpha 12.70% -> +14.82%, Sharpe 0.02 -> 2.29, max drawdown 37.26% -> 7.70%. The same manager, the same universe, the same market. The difference was rules.

Three findings worth carrying forward:

Losses are governed by exit discipline, not entry selection. Win rate barely moved (50.7% -> 53.4%). What changed was the size of losses -- the pre-pivot book had single days of 15.04%; the post-pivot worst was 3.70%.

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## 6. Standing, and the Final Seven Sessions

Equity \$722.00 · Cash \$259.33 (35.9%) · Gap 5.98% · TWR alpha 0.68%

| Holding | Value    | %     | P&L    | Stop    | Locks  |
|---------|----------|-------|--------|---------|--------|
| PAR     | \$194.26 | 26.9% | 7.3%   | \$17.05 | 10.5%  |
| ATRC    | \$159.09 | 22.0% | +54.6% | \$50.30 | +46.6% |
| VTS     | \$109.32 | 15.1% | +2.1%  | \$16.65 | 6.7%   |

Closing a 5.98% gap in seven sessions requires roughly +\$46 on \$463 of holdings -- about +10%. Only ATRC has demonstrated moves of that size, and its consensus target now sits below its price.

The realistic outcome is finishing 4-7% behind the benchmark. The task for the remaining sessions is not to manufacture a recovery -- attempting exactly that is what put \$29 into TYRA -- but to protect ATRC's +54.6%, whose stop locking +46.6% is now the single most consequential line in the book.

Prepared 2026-09-09 by Claude Code. Equity and injection data from chatgpt\_portfolio\_update.csv and capital\_injections.csv; S&P-equivalent is a shadow portfolio receiving identical cash flows into SPY; TWR uses the start-of-day injection convention in trading\_script.py and reconciles exactly with the daily reports.